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May 8, 2026

VIA ECF

Hon. Margaret M. Garnett
United States District Court
Southern District of New York
Thurgood Marshall United States Courthouse
40 Foley Square
Courtroom 906
New York, New York 10007

Re: *Kim, et al. v. The Democratic People's Republic of Korea*, Case No. 25-MC-527

Dear Judge Garnett:

We represent interested non-party Aave LLC ("Aave LLC") in the above-captioned action. As the Court is well-aware from the Parties' prior briefing and the oral argument held on Wednesday May 6, 2026, Aave LLC is seeking immediate vacatur of the improperly issued Restraining Notice[1] that risks destroying hundreds of millions (and perhaps billions) of dollars' worth of value belonging to blameless third parties.

Earlier today, Plaintiffs submitted a letter to the Court regarding (1) a proposal for a transfer of the currently in-place Restraining Notice, and (2) some additional argument to downplay the imminent irreparable injury to Aave LLC and users of the Aave Protocol, based on the unsubstantiated opinions of Plaintiffs' counsel. Dkt. No. 50. We address both in turn.

1. Aave LLC Agrees that the Assets May Be Transferred (by On-Chain Governance Vote) to Aave LLC, with the Court's Permission

Plaintiffs' letter relates to a proposal from the Arbitrum Foundation, to which Plaintiffs indicated they would agree (with certain conditions). While Aave LLC was not on that phone call, Aave LLC supports the proposal that the restraint on the Immobilized Assets be modified to allow the on-chain vote of the Arbitrum community, to transfer the Immobilized Assets to the control a wallet solely or jointly controlled by Aave LLC.

Such a proposal would relieve our Good Samaritan, who grabbed the assets back from the thief, of being caught in the middle of this legal battle. It would also uphold the purpose of the Restraining Notice: the assets would be in the control of or partial control of Aave LLC, pending the Court's decision on the appropriateness of the Restraining Notice. Until and unless the

[1] Defined terms used herein are used as defined in Aave LLC's Memorandum of Law. Dkt. No. 42.

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Restraining Notice is lifted, the assets would not be alienated. This proposal would satisfy Plaintiffs' major "conditions." Aave LLC, who is already before this Court, can readily commit to continuing to abide by the terms of the Restraining Notice, as long as it is in place.

Plaintiffs' only other condition was a briefing schedule that would take an additional month. Aave LLC does not agree to that condition. That schedule is intolerably long in the midst of the current liquidity crisis. The Court already has all the information it needs to vacate the Restraining Notice. The notion that these assets are "North Korea's assets" is preposterous. A thief does not acquire legal rights in stolen property. *Solomon R. Guggenheim Found. v. Lubell,* 77 N.Y.2d 311, 318 (1991) (New York law "affords the most protection to the true owners of stolen property," allowing recovery even from a good-faith purchaser for value); *Mitchell v. Hawley,* 83 U.S. (16 Wall.) 544, 550 (1872) ("No one in general can sell personal property and convey a valid title to it unless he is the owner or lawfully represents the owner. *Nemo dat quod non habet.*"). We do not need three weeks to wait for Plaintiffs to produce an expert report purporting to show that the thief was North Korea because <u>it does not matter</u> – the thief, even if proven to be Plaintiffs' judgment debtor, never had any property rights here at all.

Further, even if those assets became "North Korea's assets" in any way (possession, title, or anything else), the exact same argument that could have led to that result applies equally to the Arbitrum community's "take-back." Certainly, the thief no longer has possession. By Plaintiffs' own logic, even if title transferred to the thief in any way by its ill-intended maneuvers, it then necessarily transferred to Arbitrum through the well-intended maneuvers of the Arbitrum community. There is no "weighing of creditor priority" to be done, as if this were some bankruptcy proceeding, because the thief here has no rights whatsoever. The preliminary "snapshot" vote of the Arbitrum community demonstrates overwhelming support to apply those funds to Aave's relief efforts. It makes eminent sense to allow the on-chain vote to proceed, toward that goal, and relieve our Good Samaritan of its duties.

Accordingly, Aave LLC is amenable to the proposal to allow the Arbitrum community's on-chain vote to continue, and modify the Restraining Notice accordingly. For convenience, we attach as **Exhibit A** (and will email to Chambers in Word form) a proposed order allowing that modification. Our proposed order will not address, and is without prejudice to, any other arguments, claims, defenses, or issues.

For the reasons set forth below, we continue to maintain that the urgency of the situation remains pressing, and that – regardless of the Court's decision on this mutually agreeable interim step – the Court should vacate the Restraining Notice, or set a bond requirement for Plaintiffs to cover the damage they may cause through their improperly issued Restraining Notice.

2. The Imminent Risks of Irreparable Harm Still Hang Over Aave LLC, Countless Blameless Third Parties, and the Entire DeFi Ecosystem

The liquidity crisis is ongoing; this particular market in the Aave Protocol has not reopened; and we have seen (publicly and non-publicly) a flood of complaints of real harm being inflicted on real people. Approximately $280 million of value remains inaccessible. This value belongs to real people, and real companies, around the world. It represents salaries, rent payments, collateral for other positions, savings, or who knows what else. Plaintiffs' cavalier approach to other people's money is intolerable – they want blameless third parties to wait six more weeks to let the lawyers argue, while affected parties must wait to make payroll, pay other bills, or have other positions collateralized by those assets liquidated – all without any bond or security to cover the harm caused.

Merely issuing a restraining notice has a low bar, but there is good reason that the bar to maintain that restraint in the face of a challenge is a much higher bar; akin to an injunction. *See Cruz v. TD Bank, N.A.*, 22 N.Y.3d 61, 76 (2013) ("Whether issued by a court or an attorney acting as an officer of the court, a restraining notice is an injunction . . ."), *cited in* Plaintiffs' April 30, 2026 Emergency Motion (Dkt. No. 33) at 1; *JSC Foreign Econ. Ass'n Technostroyexport v. Int'l Dev. & Trade Servs., Inc.*, 295 F. Supp. 2d 366, 393 (S.D.N.Y. 2003) ("Restraining notices under § 5222 may be issued to prevent the disposition of the assets of a judgment debtor . . . But they may not be used as an end-run around the requirements of the prejudgment attachment statutes.").

The May 3, 2026 Declaration of Luigi DeMeo (Dkt. No. 41, the "DeMeo Declaration") is competent, <u>uncontested</u> testimony laying out the imminent risks in detail: "If cascading liquidations, sustained liquidity outflows, or prolonged withdrawal constraints take hold, their effects are not reversible or capable of full remediation. Timing is also critical because ongoing ETH price volatility materially increases risk to Aave Protocol users: many users maintain ETH positions that require active rebalancing to reduce exposure to liquidations. . . . if ETH prices decline during this period, positions that would otherwise remain solvent may be forced into liquidation, exacerbating losses and compounding the harms caused by the original incident." *Id.* ¶ 42. These risks have not changed, and remain a Sword of Damocles hanging over countless blameless users of the Aave Protocol, and Aave LLC.

Plaintiffs' counsel today submits a declaration that proffers his own opinions to the contrary, masquerading as expert testimony ("Generally speaking, in my experience, the price of a DAO's governance token is a reasonable proxy for the market's view of the health (and likely future health) of that DAO."). *See* Dkt. No. 50-1 ¶ 4. Plaintiffs' counsel, whose alleged "expertise" was stated to be "litigat[ing] cases involving DAOs and related crypto matters continuously for nearly five years," is not remotely qualified to be an expert here. *See, e.g.*, *Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579 (1993).

Mr. Gerstein's personal opinion about the price of the AAVE token is wholly irrelevant, and conflates distinct actors and interests. The AAVE token is held by governance participants and its price reflects broad, market-wide sentiment about the Aave Protocol; it is not a proxy for the harm suffered by protocol users whose assets are directly affected by the Restraining Notice. AAVE token holders are not necessarily the ones whose assets are frozen, and movements in the trading price of the AAVE token say nothing about whether the restraining notice is inflicting concrete harm on the actual users who are unable to access their property.

Plaintiffs' submission is doubly misplaced because it responds to a claim Aave LLC has not made. Aave LLC has never contended one way or the other that AAVE token holders are suffering harm and has never relied on token price as a measure of injury. The irreparable harm here is borne by the Aave Protocol users whose assets are actually restrained and whose rights are presently impaired in ways that cannot be fully remedied after the fact. Any short-term price fluctuations in the AAVE token does not address, let alone rebut, that harm.[2]

Finally, the price of the AAVE token is also irrelevant to the question before the Court because the relevant affected market (rsETH and ETH) on the Aave Protocol is simply those two assets in that particular pool – and the value of these assets in this particular pool is a null set, because the pool is frozen. The potentially devastating impacts from the liquidity crisis in this pool are not necessarily going to be seen in the price of the AAVE token, which is a separate asset, with completely separate factors that might influence its value. Indeed, if one were measuring the health of the Aave Protocol, the "total value locked" – the measure of the total assets held on the Aave Protocol – fell from approximately $44 billion on April 17, to approximately $26 billion today.[3]

The price of ETH is the better and more important lever here. The affected parties have been fortunate that the price of ETH has remained relatively stable during this decentralized finance liquidity crisis, largely staying within a narrow band since April 18.[4] However, volatility in that price – which could come at any time – could trigger many of the harms we have feared, causing a cascade of forced liquidations, precisely as Mr. DeMeo declared. If the price of ETH falls materially before the backing issue is resolved, the situation changes quickly. Many unrelated leveraged ETH positions across the Aave Protocol also become stressed. Liquidations accelerate across the protocol. Available ETH liquidity tightens. Liquidators become capacity constrained. Bad debt can compound beyond the original rsETH exposure. Just because those

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[2] If the AAVE token price were to fall, Plaintiffs would presumably resist the suggestion that such movement establishes irreparable harm to the Aave Protocol users whose assets are restrained, yet they invoke the absence of a decline as evidence that no such harm exists.

[3] *See, e.g.*, https://tokenterminal.com/explorer/projects/aave/metrics/tvl?interval=30d&granularity=day (last visited May 8, 2026).

[4] *See, e.g.*, https://coinmarketcap.com/currencies/ethereum/ (last visited May 8, 2026).

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harms haven't occurred in the previous 48 hours doesn't mean they can't occur imminently, literally at any time.

Aave LLC recognizes and greatly appreciates the Court's time and attention this week, in an assuredly busy docket. Aave LLC respectfully requests entry of the proposed order attached hereto, to allow our Good Samaritan to be relieved, while maintaining the funds safely pending further Court orders on the material disputed matters. Aave LLC also respectfully requests that the Court deny the briefing schedule sought by Plaintiffs' counsel, due to the urgency described in the DeMeo Declaration and herein.

Respectfully submitted,

/s/ Jason Gottlieb

Jason Gottlieb

cc: All Counsel of Record (via ECF)

EXHIBIT A

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF NEW YORK

HAN KIM, et al., Plaintiffs, v. THE DEMOCRATIC PEOPLE'S REPUBLIC OF KOREA, a.k.a. NORTH KOREA, Defendant ~~~ IN RE CENTRAL BANK OF THE ISLAMIC REPUBLIC OF IRAN, et al. ~~~ RUTH CALDERON-CARDONA, et al., Plaintiffs, v. THE DEMOCRATIC PEOPLE'S REPUBLIC OF KOREA, et al., Defendants & ARBITRUM DAO, Garnishee (as to all cases)	Case Nos. 25-MC-527-MMG 26-MC-033-MMG 26-MC-094-MMG **[PROPOSED] ORDER**

WHEREAS, upon consideration of the emergency motion of non-party Aave LLC ("Aave LLC") (Dkt. Nos. 39-42, the "Motion") to vacate the restraining notice to Arbitrum DAO (Dkt. No. 33-7, the "Restraining Notice"); Plaintiffs' response to the Motion (Dkt. No. 47), as well as the letters filed by the Parties on May 8, 2026 (Dkt. Nos. 50-51); and after due deliberation,

NOW, THEREFORE, IT IS HEREBY ORDERED THAT:

1. Pursuant to N.Y. C.P.L.R. 5240, the Restraining Notice issued to "Arbitrum DAO" is modified, so as to allow an on-chain vote to transfer the Immobilized Assets (as that term is used in the Motion) to a digital assets wallet controlled by Aave LLC.

2. The transfer process described in the prior paragraph will not be deemed to be a violation of the Restraining Notice. Any party initiating that on-chain transaction, voting with regard to that on-chain transaction, or participating in the on-chain transfer of assets to Aave LLC shall **not** be in violation of the Restraining Notice.

3. Upon the occurrence of the transfer described in Paragraph 1 above, Aave LLC agrees to abide by the terms of the Restraining Notice as if the Restraining Notice had been issued to Aave LLC, until and unless the Restraining Notice is vacated or further modified by the Court, is withdrawn or modified by Plaintiffs, or expires by operation of law.

4. The Court reserves decision on all other matters in connection with the Restraining Notice and the Immobilized Assets, and no prejudice toward those matters is intended by this Order.

Dated: New York, New York
May ___, 2026

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Hon. Margaret M. Garnett
United States District Judge